

Korea Internet & Global AI infrastructure

Naver: What's \$50bn between friends? Thoughts on neocloud funding, strategy



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Naver has abruptly pivoted into neocloud ([Link](#)) - and the logic holds. Naver isn't starting from zero: it brings deep search heritage and uniquely defensible Korean-language AI assets. A stock that had slipped off investors' radar is suddenly relevant again. The debate has flipped fast to can they execute - and more importantly, who is willing to back this pivot.

Naver's AI factory may look like CoreWeave today, but its endgame is closer to Nebius (not covered). At first glance, Naver's AI factory screens similarly to CoreWeave. Strategically, however, we believe Naver is pursuing something broader: a Nebius-like path toward becoming a regional AI platform anchored in software, digital sovereignty, and full-stack integration. While neoclouds primarily monetize AI compute, Naver is using a neocloud framework to build national AI infrastructure and cultivate a regional AI ecosystem. As a result, early operating metrics may resemble those of neocloud players, but we believe the appropriate long-term valuation framework is fundamentally different.

Why Naver resembles a Neocloud today. At the infrastructure level, Naver is executing a classic neocloud strategy. It is deploying SPVs, ring-fenced financing, and forward-demand visibility to accelerate AI capacity buildout rather than waiting for organic cloud demand curves. The industrial logic is equally aligned. Naver is leaning into GPU-first infrastructure, high-density AI factory design, and tight NVIDIA partnership, starting with a 55 MW footprint and scaling ambitions beyond.

Building a stack, not just selling compute. The divergence lies in intent. Neocloud model centers on renting GPU capacity in a supply-constrained market. Nebius, by contrast, represents a move toward integrating infrastructure with a broader AI platform. Naver clearly leans toward the latter. Its edge is not just in compute, but in combining search heritage, domestic distribution, enterprise ties, and Korean-language AI assets. The ambition is not to maximize GPU hours sold, but to own the regional AI stack.

What's \$50bn between friends? This won't be a solo build. The signals are already there, with recent Naver meetings with chip and LLM players pointing to a partnership-driven neocloud from day one. If Meta showed the blueprint, Naver is writing its own playbook: SPVs to offload capex, partners to anchor demand, and long-term contracts to lock in returns. We assume this is how a \$50bn ambition gets de-risked. Capital comes from infra investors, compute from GPU suppliers, intelligence from model owners. Naver sits in the middle - orchestrating the stack, not just funding it. Now that Naver is back on the radar, the question isn't strategy. It's execution - and who's willing to step in and back it.

Naver's AI factory is no longer just a corporate capex story - it is now part of Korea's national AI agenda. The Korean government's 8.4 GW AI infrastructure initiative effectively positions Naver's planned 1 GW buildout as sovereign AI infrastructure, improving funding visibility, reducing key execution risks around power and capacity, and broadening the addressable market beyond domestic cloud demand. In our view, policy support increasingly strengthens the case for viewing Naver as a strategic AI platform rather than simply a capital-intensive GPU infrastructure builder.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	10 Jul 2026	Price	TTM	Adjusted EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
035420.KS (Naver)	O	KRW	192,000	330,000	(59.4)%	KRW	13,065	14,068	15,783	14.7	13.6	12.2
035720.KS (Kakao Corp)	O	KRW	35,350	80,000	(76.4)%	KRW	1,443.78	1,778.76	2,014.00	24.5	19.9	17.6
CPNG (Coupang)	U	USD	18.80	12.00	(58.9)%	USD	0.11	(0.38)	0.21	166.9	(49.6)	89.3
352820.KS (Hybe)	O	KRW	222,000	400,000	(53.2)%	KRW	(5,713.11)	10,207	10,212	(38.9)	21.7	21.7
IREN (IREN)	O	USD	41.14	100.00	121.0%	USD	269.67	233.06	1,296	100.3	(287.0)	(39.4)
WULF (TeraWulf)	O	USD	21.97	36.00	307.6%	USD	(23.11)	114.90	655.86	(13.2)	(13.3)	(30.7)
CIFR (Cipher)	O	USD	22.11	32.00	233.7%	USD	(2.15)	(1.13)	(0.53)	(10.3)	(19.5)	(41.7)
CORZ (Core Scientific)	O	USD	23.49	32.00	57.6%	USD	(29.66)	276.21	630.77	(26.7)	(25.5)	90.3
RIOT (Riot)	O	USD	20.97	30.00	45.9%	USD	164.30	281.69	405.58	(10.8)	15.4	(27.1)
CRWV (CoreWeave)	U	USD	88.88	67.00	(56.3)%	USD	(1.20)	(4.20)	(2.41)	33.4	13.1	6.9
ASIA			1,947.59									
SPX			7,575.39									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

035720.KS, CIFR estimate is Reported EPS; IREN, WULF, CORZ, RIOT estimate is EBITDA (M); 035420.KS, CPNG, 352820.KS valuation is Adjusted P/E (x); CRWV valuation is EV/EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We have **Outperform** rating on **Naver**. We believe that Naver has moved firmly back onto investors' radar. The conversation has shifted from if to how - specifically, how management intends to execute its plan. We see this as a constructive development: *being under scrutiny is far preferable to being overlooked*. This shift is driving a re-rating in engagement: the market is no longer questioning the strategic intent, but the credibility and execution path. In our view, that is exactly where the debate should be.

Bitcoin Miners/Emerging AI Infra: Crypto miners remain well positioned to solve 'time to compute' given their planned 30GW power portfolio and operating ability to deliver 'warm powered shells' in time. Over the past two years, miners have contracted ~6.7 GW of power capacity to hyperscalers, neoclouds and AI-chip manufacturers across 18 deals worth over \$130Bn. The contracted ~6.7 GW represents ~20% of the 30 GW pipeline of crypto miners, allowing runway for new contracts. We rate WULF Outperform (PT\$36), CIFR Outperform (PT\$32), IREN Outperform (PT\$100), CORZ Outperform (PT\$32), and RIOT Outperform (PT \$30).

U.S. Communications Infrastructure: We are Underperform on CRWV with a price target of \$67. We continue to believe that CRWV will sign more deals. The stock may perform well in the near-term on the momentum of those signings; however, on a long-term, fundamental basis, we have concerns about the business model and CRWV's role in the infrastructure ecosystem.

VALUATION COMPS TABLE

EXHIBIT 1: Asia Internet: valuation summary

	Rating	Price target	Last price	Crncy	Market cap (US\$m)	2026E	PE 2027E	2028E	2026E	EV/sales 2027E	2028E
China Internet coverage											
Tencent	O	780	459.60	HKD	533,026	13.3x	11.5x	9.9x	4.4x	3.8x	3.3x
PDD	M	110	85.88	USD	122,241	7.9x	7.1x	6.3x	0.7x	0.4x	0.2x
Meituan	M	85	78.50	HKD	61,826	175.8x	16.3x	9.5x	0.8x	0.7x	0.6x
NetEase	O	150	133.91	USD	85,452	14.7x	13.7x	13.0x	3.6x	3.3x	3.1x
Boss Zhipin	O	18	14.26	USD	6,751	11.5x	9.6x	8.6x	2.8x	1.9x	1.4x
JD	O	40	27.74	USD	37,888	9.0x	6.6x	5.0x	0.2x	0.2x	0.2x
Alibaba	O	180	111.14	USD	266,824	27.9x	16.3x	13.9x	1.8x	1.7x	1.6x
China Internet other											
Kuaishou			42.84	HKD	23,721	9.9x	8.8x	7.6x	0.9x	0.9x	0.8x
Bilibili			17.84	USD	7,583	17.5x	13.8x	10.7x	1.1x	1.0x	0.9x
TME			8.85	USD	14,705	9.3x	8.2x	7.5x	1.9x	1.7x	1.6x
Baidu			117.51	USD	39,983	14.6x	13.1x	10.7x	1.2x	1.1x	1.0x
VIPshop			13.85	USD	6,652	5.5x	5.3x	5.0x	0.2x	0.2x	0.2x
Tencent Music			8.85	USD	14,705	9.3x	8.2x	7.5x	1.9x	1.7x	1.6x
Trip.com			41.43	USD	26,089	11.7x	10.1x	9.1x	1.9x	1.7x	1.6x
KE Holdings			15.25	USD	17,649	16.3x	13.9x	13.6x	1.0x	1.0x	1.0x
Asian Internet											
Naver	O	330,000	191,500	KRW	19,974	13.6x	12.1x	10.6x	1.4x	1.1x	0.8x
Kakao	O	80,000	35,350	KRW	10,407	19.9x	17.6x	14.5x	1.0x	0.7x	0.5x
Hybe	O	400,000	221,500	KRW	6,345	22.0x	21.8x	17.8x	1.5x	1.6x	1.3x
Coupang	U	12	19.16	USD	34,393	n.a.	91.0x	44.2x	0.8x	0.7x	0.7x
Sea Ltd.			109.11	USD	66,828	29.4x	21.4x	16.9x	2.0x	1.6x	1.4x
Grab			3.88	USD	15,910	39.2x	26.0x	19.4x	2.8x	2.3x	2.0x
US Internet											
Amazon			247.04	USD	2,657,436	24.1x	21.5x	17.4x	3.3x	2.9x	2.6x
Alphabet			358.89	USD	4,353,683	25.2x	23.3x	19.4x	10.2x	8.4x	7.0x
Meta			631.48	USD	1,602,964	16.4x	14.5x	12.5x	6.4x	5.3x	4.5x
Netflix			75.47	USD	317,789	21.5x	19.6x	16.4x	6.3x	5.6x	5.1x
Uber			74.35	USD	151,347	22.6x	16.7x	13.6x	2.7x	2.4x	2.1x
Spotify			485.88	USD	100,010	33.1x	26.9x	22.0x	4.1x	3.6x	3.1x
DoorDash			192.35	USD	83,810	41.3x	28.2x	21.7x	4.6x	3.8x	3.2x

Pricing date July 10, 2026. The valuation multiples of our China and Asian Internet coverage are based on Bernstein estimates; the other companies shown reflect Bloomberg consensus estimates.

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

DETAILS

NAVER: WHAT'S \$50BN BETWEEN FRIENDS? THOUGHTS ON NEOCLOUD FUNDING, STRATEGY

Structurally, Naver's AI factory shares many characteristics with leading neocloud providers such as CoreWeave today. The building blocks are familiar: SPVs, contract-backed capex, GPU-native infrastructure, and an NVIDIA-centric ecosystem designed for speed, density, and rapid deployment. At first glance, the model resembles the emerging neocloud playbook seen across the industry.

Where Naver may ultimately differentiate itself is not necessarily in how it builds AI infrastructure today, but in what it intends to build on top of that infrastructure over time. While CoreWeave and other neocloud players are seeking to monetize growing demand for AI compute, Naver's longer-term ambition appears broader - leveraging AI infrastructure as a foundation for search, services, and a regional AI ecosystem.

Why Naver resembles a Neocloud today

At the infrastructure level, Naver's strategy shares many of the attributes that have defined the neocloud model. The buildout relies on dedicated project financing structures, visibility on long-term demand, and accelerated deployment of AI-native capacity rather than the traditional cloud investment cycle.

Like its global peers, Naver is emphasizing high-density GPU infrastructure and close alignment with NVIDIA. The initial 55 MW deployment and longer-term expansion ambitions suggest an approach that is more consistent with purpose-built AI infrastructure providers than with traditional telecom operators or colocation businesses.

In this respect, Naver's economics during the early phases of development may look similar to those of CoreWeave and other neocloud operators. Success will depend on many of the same factors: utilization, power availability, financing execution, and the ability to secure long-term customer demand.

Where Naver's long-term vision may differ

The key distinction, in our view, lies less in today's infrastructure model and more in the potential evolution of the platform. While neocloud providers increasingly offer software and platform services alongside infrastructure, Naver enters the AI era with several assets that extend beyond compute: a search franchise, consumer and enterprise distribution, Korean-language AI capabilities, local content ecosystems, and a strategic position within Korea's broader digital infrastructure landscape.

As a result, we believe Naver is attempting to build more than a pure AI infrastructure business. Over time, management's ambitions appear increasingly focused on connecting infrastructure, models, applications, and services into a broader regional AI ecosystem. This is not to suggest that Naver is fundamentally different from other neoclouds today. Rather, we believe the strategic opportunity may extend beyond infrastructure monetization if the company successfully leverages its existing platform assets.

Why the Distinction Matters

For investors, the most balanced way to view Naver may be as a hybrid story. On one hand, the near-term investment case shares many features with the broader neocloud universe: substantial capital requirements, infrastructure execution risk, and sensitivity to utilization and demand trends.

On the other hand, Naver possesses platform assets that many infrastructure-focused peers do not. If successfully integrated, these assets could create additional avenues for monetization through enterprise AI services, search, content, software, and sovereign AI initiatives. Viewed through this lens, Naver is not simply importing a neocloud model into Korea, nor is it already a fully realized AI platform. Rather, it is using a neocloud-style infrastructure framework as the foundation for a potentially broader AI ecosystem.

What investors should watch

The key question is whether Naver can extend beyond Phase 1 infrastructure economics and create meaningful value from the platform opportunities that sit above the infrastructure layer. In the near term, we think investors should focus on familiar infrastructure metrics: utilization, customer commitments, financing discipline, power availability, and returns on invested capital.

Over the longer term, the differentiation case will increasingly depend on whether Naver can leverage its search heritage, enterprise relationships, AI services, and sovereign AI positioning to create value beyond pure compute. If successful, we believe Naver could evolve into one of Asia's more differentiated AI infrastructure platforms. If not, investors may continue to evaluate the business primarily through the same framework applied to other capital-intensive AI infrastructure providers.

EXHIBIT 2: Comparison of Public Neoclouds: Naver's AI factory resembles leading neoclouds in its infrastructure strategy and financing model, while its search heritage, sovereign AI positioning, and full-stack AI ambitions may create opportunities beyond traditional AI compute infrastructure over time.

		CRWV	IREN	NBIS	NAVER
Foundation	Real estate ownership	Mostly leased, self-building	Mostly owned	Mixed, self-building	Mixed, Initial 200MW leased, later greenfield SPVs
	Scale: Power pipeline	c.1GW+ active, 3.1 GW contracted	810MW active, 4.5 GW expected grid-connected power	2GW+ contracted, 3GW+ anticipated by end of 2026	55MW live in 2027, 200MW first phase, roadmap toward 1GW by 2031
	Stage and operating History	Most mature, IPO March 2025	Still pivoting	~18 mo behind CRWV (restarted mid-2024)	Early build-out; pivoting from legacy cloud to AI factory with phased roll-out
Commercial model	Stack depth (HW + Software)	Most sophisticated GPU cloud+orchestration, SemiAnalysis Platinum	Bare metal GPU hosting, IaaS Only	GPU cloud + orchestration, SemiAnalysis Gold; broader managed services	GPU centric AI factory plus Naver software stack, Hyper Clova X and joint R&D with NVDA sovereign AI positioning
	Revenue type (on-demand vs. contracted)	Almost fully contracted	Almost fully contracted ¹	Mixed, shifting contracted	First 200MW designed as fully leased with a single anchor customer
	Revenue backlog & Demand visibility	c.\$100B	\$9.7B ¹	\$ 47B ²	Not disclosed; management guides to fully contracted 200MW and multi-year sovereign/enterprise pipeline
	Customer profile & concentration	Most diversified	100% MSFT Backlog	MSFT + META represent ~63%	High initial concentration in one 200MW anchor client
Capital structure & Investors	Funding mechanics ³	SPV+debt secured against hyperscaler contracts; cost of debt 8.2%	MSFT deal as collateral, project-finance style borrowing, cost of debt 0.8%	Contract-backed debt, cost of debt 1.4%	SPVs with GPU-collateralized debt and project bonds, layered with Korean policy-bank loans and partner equity
	Leverage ⁴ & balance sheet	Most leveraged 5.9x	Moderately leveraged 1.2x	Strongest balance sheet given equity optionality	Targeting low reported leverage by ring-fencing SPV debt; first 200MW funded with ~2B equity and ~8B project finance
	Notable investors	NVDA 11.3%	Awassi Capital hold 4.2%	NVDA 0.5%	Strategic GPU partner Nvidia; Korean National Growth Fund and policy banks backing Sejong AI data center expansion

Disclaimer: The "Comparison of Public Neoclouds" exhibit was initially published in our April 1, 2026 report, "The Neocloud Field Guide: What Differentiates CRWV, IREN, and NBIS?" and is reproduced here for reference.

Note: 1. Only shows MSFT deal, excludes on-demand revenue 2. MSFT Deal \$17.4B + Meta Deal \$27B (\$12B + \$15B Backstop), incremental AI backlog is not disclosed 3. Based on CY2025 interest expense and CY-end debt levels (inclusive of finance leases) 4. 2025 Leverage (Net Debt/Adj. EBITDA).

Source: Company filings, Bernstein estimates and analysis.

EXHIBIT 3: Naver's AI stack suggests its AI data center ambitions go beyond GPU orchestration, leveraging its search heritage and Korean-language AI strengths to drive long-term monetization.

	Hardware	Platform	Application	Model	Industry structure	Execution
Naver	★★★★★	★★★★★	★★	★★★★★	★★★★	★★★★
Kakao	★★	★★★★	★★★★★	★★	★★★★★	★★★★★
Coupang		★★★★	★★★★★		★★★★	★★★★★
Hybe		★★★★	★★★★★		★★★★★	★★★★★

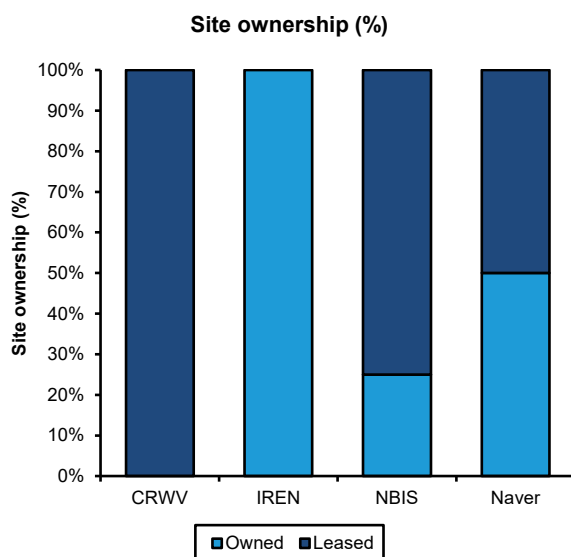
Source: Bernstein analysis.

EXHIBIT 4: We believe Naver has the foundations to expand its AI ecosystem, leveraging its infrastructure capabilities and broad content assets.

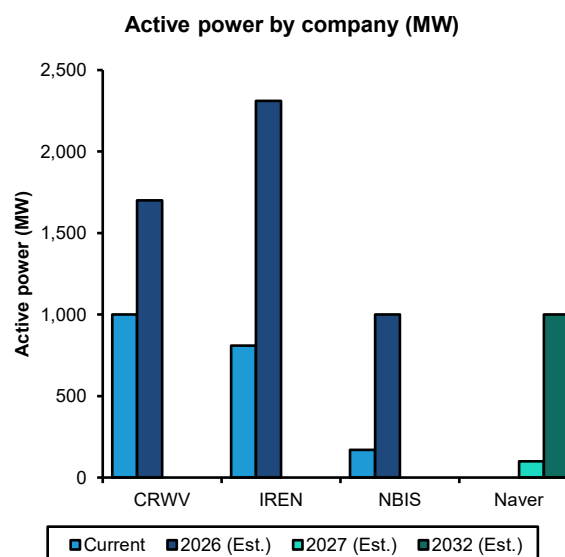
	Tencent ecosystem	Naver ecosystem	Kakao ecosystem
Main domain	WeChat (Messenger)	Naver Search (Search portal)	KakaoTalk (Messenger)
Content	- WeChat Mini Programs for UGC - WeChat Channel for Shot form videos	- Naver Clip: short-form video feeds - Naver Store (3P e-Commerce ecosystem) - Naver News	- Kakao Shot form: short-form video feeds - Kakao Shopping and gifting commerce
AI	- HunYuan LLM - Yuanbao - DeepSeek integration	HyperCLOVAX	- Kanana AI Mate (On-device AI strategy) - OpenAI ChatGPT
Cloud	Tencent Cloud (hyperscaler)	Naver Cloud (hyperscaler)	- Kakao Enterprise Cloud - Partnerships with Google Cloud/OpenAI
Entertainment	- Gaming - Long-form video	- Naver Webtoon - CHZZK: live streaming service	- Kakao Page (Web comic) - SM Entertainment (K-pop) - Melon (Music streaming MAU share: 8%)
Commerce	- Mini Program (can access all China e-Commerce platforms) - WeChat gifting commerce	Naver Smart Store (Korea e-Commerce GMV share: 25%)	Gifting commerce (Korea e-Comm GMV share: 5%)
Fintech	WeChat Pay (GTV share: 40%)	- Naver Pay (6.5M MAU, c.40% of GTV share) - Partnership with Dunamu	- KakaoPay (11.8M MAU, c.30% of GTV share) - Kakao Bank (18.3M MAU)
Search	- Weixin Search (Yuanbao) - Agent AI to be implemented	Naver Portal Search (AI Briefing/Cue)	- Daum Search - ChatGPT Integration on KakaoTalk

Note: MAU as of June 2026

Source: Wiseapp, Bernstein analysis

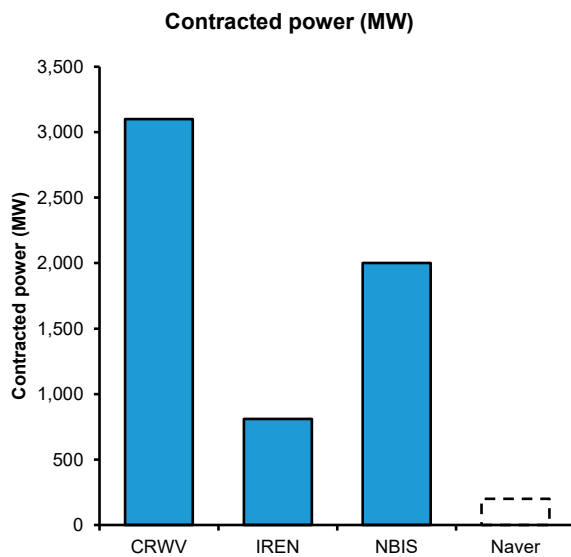
EXHIBIT 5: Naver is projected to own c.50% of the data center site, based on its planned 1GW AI data center build-out by 2032.


NBIS as of Feb-26; CRWV and IREN as of 2025; Naver's projected site ownership based on its planned 1GW AI data center build-out by 2032.
Source: Corporate reports, Bernstein estimate and analysis.

EXHIBIT 6: Naver plans to start with 100MW of active power by the end of 2027, initially through leased facilities.


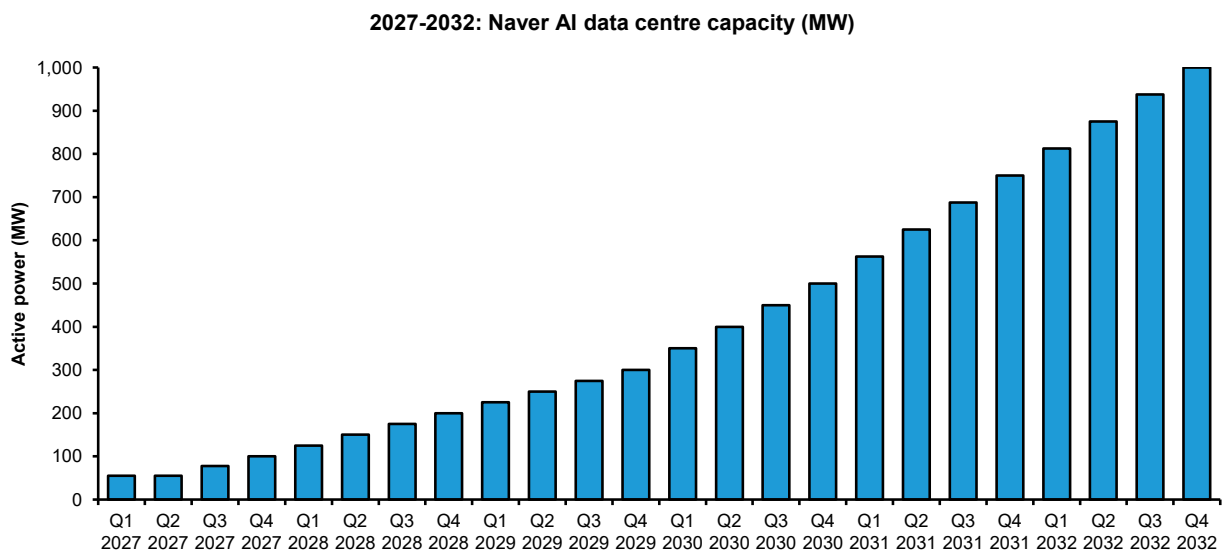
CRWV announced they expect to double their active power footprint by end of 2026; IREN: 2026 Future expectations shows total energized (Includes 1.4GW Sweetwater in CY26E, and Childress full energization of 750MW); NBIS: Expectations of 800MW-1GW of connected power by EOY 2026.
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 7: The anchor client of Naver's AI data center project (yet to be disclosed) has committed to the initial 200 MW of power capacity.



CRWV: Expect to add incremental 5GW of contracted power by 2030; IREN: Only revenue-generating MW are shown. Expect to have a total of 4,510 MW energized by the end of 2028; NBIS: Anticipate 3GW Contracted by end of 2026.
Source: Bernstein estimate and analysis.

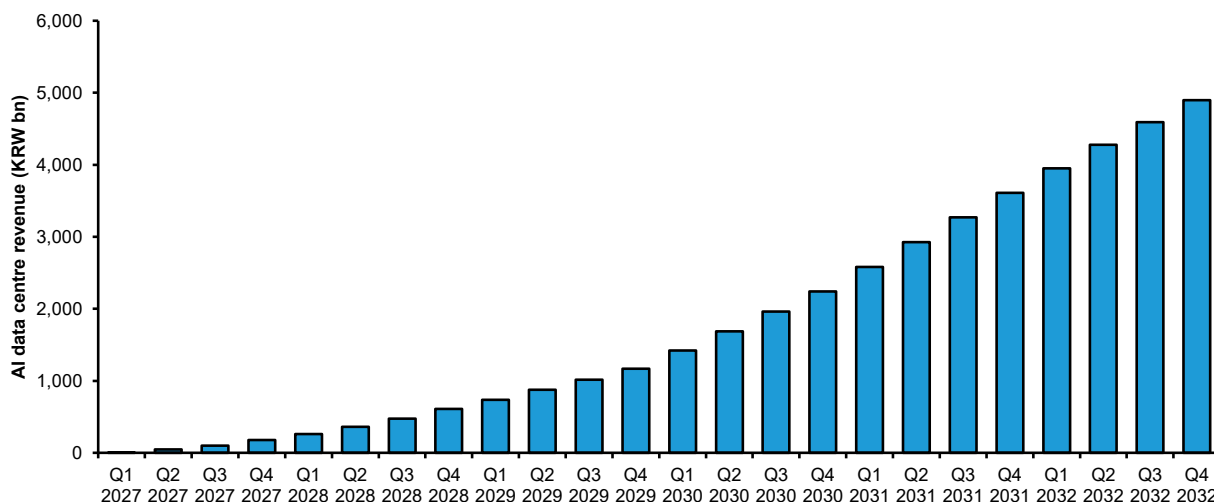
EXHIBIT 8: Naver is rapidly expanding its AI data centre buildout, aiming to reach 100MW by end-2027 and scale up to 1GW within 5 to 6 years.



Source: Bernstein estimate and analysis.

EXHIBIT 9: Management is targeting 20 trillion won in incremental revenue from its AI factory over the next 5 to 6 years.

2027-2032: Naver AI data centre revenue (KRW bn)



Source: Bernstein estimate and analysis.

FINANCING THE AI FACTORY: SCALING INFRASTRUCTURE WITHOUT SCALING THE BALANCE SHEET

We believe that Naver is firmly back on the radar - and that, in itself, matters. The debate has moved decisively from if to how: not whether the strategy works, but whether management can execute. That shift is constructive. Scrutiny beats irrelevance, and the market is now engaging on credibility, timelines, and delivery rather than questioning strategic direction. In our view, this is exactly where Naver belongs. Against that backdrop, the most logical next step for Naver Neocloud is to follow a Meta-like playbook - carving out data center and compute assets into SPVs, ring-fencing capital intensity while retaining long-term usage and control.

Meta's deal with Blue owl capital ([Link](#)), the SPV is structured to own the data center, while Meta (covered by Mark Shmulik) keeps a minority stake and a long-term lease. Blue Owl's (not covered) SPV raises roughly 27 B USD of investment-grade debt to fund construction, and that debt largely sits outside Meta's consolidated balance sheet. Meta effectively runs a triple-net lease on infrastructure it does not fully consolidate, while guaranteeing a minimum IRR via long-dated contracts and residual value protections. The economic gist: the SPV owns and finances data centers, big tech secures capacity through long-term leases and minimum revenue guarantees, and the leverage shows up more in the SPV than at the parent.

We assume that Naver's GPU SPV would mirror this logic by putting the physical GPUs, racks, power, and cooling inside a vehicle and raising GPU-collateralized debt against them. Naver might hold a meaningful share of the SPV equity as operator with infrastructure investors owning the remaining shares and targeting a 7-9% IRR. Neocloud then could sign 5-plus-year leases or capacity-based service contracts with minimum usage and pre-agreed GPU pricing, effectively backstopping investor returns. With careful structuring under accounting rules, much of the GPU exposure could be kept off Naver's parent balance sheet, flowing through P&L as service or lease expense rather than as large capitalized assets and associated debt.

For greenfield data centers, Naver could potentially split the structure into a property company that owns land, buildings, and core infrastructure, and an operating company that runs the AI cloud. The property company SPV could possibly issue long-dated, investment-grade style project bonds or green infrastructure debt to fund the heavy CapEx, while Naver might inject equity into the operating company and could sign long-term service and lease agreements back to the property company. Operating company could be majority (potentially 51%) owned by Naver, preserving operating control and margin capture, while property company could be majority held by infra investors, keeping most of the debt ring-fenced. In effect, Naver might leverage its capital and operating capabilities while pushing land, building, and GPU CapEx into project finance structures held by external investors.

In our view, the first design pillar is ring-fencing: SPV debt should not visibly stretch Naver's reported leverage, so facilities are structured as non-recourse or limited-recourse, with returns secured by long-term contracts, minimum volumes, and price floors. The second is accounting: contract tenor, renewal options, and residual guarantees are tuned to keep as much exposure as possible in service contract territory rather than full-blown finance leases under IFRS. Third, Naver aims for minority equity but majority control where it matters, holding c.51% in operating entities, while infra investors carry most of the CapEx and leverage. Finally, Naver leans into its local strengths – Korean language-specific AI stacks, and a track record with public and enterprise customers – to convince capital providers that demand and operating risk are structurally lower than in a generic neocloud.

EXHIBIT 10: We expect Naver's AI data center initiative to evolve into a 1GW AI infrastructure platform through a disciplined three-phase expansion strategy.

	Phase 1: 200MW lease	Phase 2: 200MW owned	Phase 3: 600MW hybrid
Capacity & ownership	200MW (Existing leased sites)	200MW (Owned, Sejong expansion)	600MW (lease + owned/greenfield mix)
Asset ownership	DC leased GPUs owned by SPV	Owned DC, GPUs owned by SPV, Naver owns OperatingCo SPV	Mix of leased, owned domestic, and owned foreign SPVs
Naver equity role	Roughly 1 B USD in SPV	Additional equity in Operating Co; domestic focus	Smaller per-project equity; PropCo (infra SPV) + OperatingCo (Naver 51%)
Funding mix	~10 B USD capex: 1 B Naver, 1 B partner, ~8 B project debt/leases	Sovereign/policy loans + project bonds + equity	Project finance, local partners, policy support, export-oriented capital
Contract model	Single anchor customer, 200MW take-or-pay	Additional capacity can be allocated to the anchor client	Portfolio of sovereign AI, hyper-scalers, regulated enterprises
Balance sheet impact	Most debt ring-fenced; expense flows through P&L	Still ring-fenced, but more owned assets; policy lowers cost of capital	Portfolio of off-BS SPVs, with Naver consolidating mainly operating entities
Strategic role	Prove AI data center economics	Establish Naver as domestic sovereign AI operator	Build regional AI platform and export AI DC solutions

Disclaimer: The Phase 1-3 AI data center roadmap presented in this report is based on our analysis of publicly available information and discussions with industry participants. As Naver has not provided comprehensive public details on the project, certain assumptions have been made regarding the timing, ownership structure, financing approach, customer profile, and capacity expansion plans. As the project evolves, actual outcomes may differ from the scenarios outlined in this note. The Phase 1-3 framework should therefore be viewed as our analytical assessment rather than official company guidance.

Source: Bernstein analysis.

POLICY POWERING NAVER'S AI AMBITIONS

The Korean government's mega project formally positions Naver's AI data centre buildout as part of a state-backed 8.4 GW AI infrastructure program, allocating around 1 GW to Naver alongside SK (5GW) and GS (2.4GW). This shifts Naver's AI factory from a company-level initiative to a core component of Korea's national AI backbone, embedding its roadmap within a 550 trillion won investment framework and raising the strategic stakes on execution.

Sovereign backing strengthens funding and growth

Because the mega project is explicitly framed as an effort to industrialize and export AI data centre solutions, Naver's SPV-based financing model now sits under a policy umbrella that favors access to favourable government and policy-bank capital. That support can lower Naver's effective cost of debt and strengthen non-recourse SPV structures, making its plan to finance c.40-60 billion USD of capex with limited parent balance sheet strain more credible.

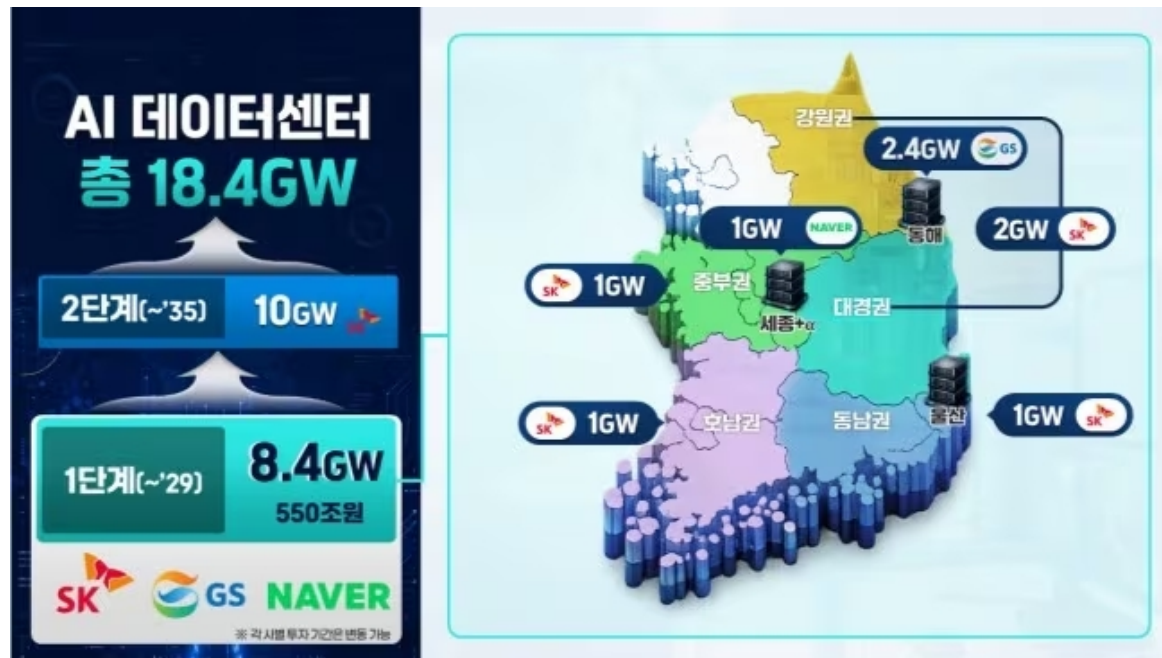
The announcement ([Link](#)) ties AI data centres directly to national AI sovereignty, large-scale token production, and exportable "AI data centre solution" industries, including domestic AI chips and power/cooling technologies. For Naver, this broadens the demand story from domestic cloud and enterprise customers to a mix of sovereign AI workloads and overseas AI DC projects where Naver's stack, operations, and Korean hardware ecosystem can be packaged as an export offering.

Policy tailwinds turn AI capex into strategic value

The mega project is backed by a comprehensive infrastructure plan that prioritizes timely power and water supply, discloses high-voltage grid capacity, and introduces AI data centre-specific electricity tariffs. This directly addresses two of the biggest operational risks in Naver's AI factory model - securing enough energy and controlling long-term power costs - and makes its utilization and 20% margin assumptions more defensible if its sites qualify for these preferential regimes.

By naming Naver as a core partner in the national AI data centre buildout, the government effectively recasts Naver as a candidate for "national champion" status in AI infrastructure and sovereign AI platforms. For equity investors, that means Naver should increasingly be analysed not just as a capital-intensive GPU builder, but as an operator of policy-supported strategic assets with platform and export upside, altering both risk perception and potential valuation multiples.

EXHIBIT 11: Naver's AI data center buildout is now part of the Korean government's 8.4GW Phase 1 state-backed AI infrastructure initiative announced on June 29, 2026.



Source: Local press (Chosun Ilbo), Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 12: Naver: Income Statement

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	6,818	8,220	9,671	10,738	12,035	13,530	15,519	18,736	22,850
Operating, general and administrative	-5,492	-6,915	-8,182	-8,758	-9,827	-11,291	-12,906	-15,677	-19,287
Operating profit	1,325	1,305	1,489	1,979	2,208	2,239	2,613	3,059	3,563
Profit before tax	2,126	1,084	1,481	2,322	2,420	2,617	2,980	3,417	3,899
Income tax expense	-649	-411	-496	-390	-601	-490	-596	-683	-780
Net Income	1,478	673	985	1,932	1,819	2,127	2,384	2,734	3,119
Net profit attributable to SHs	1,490	760	1,012	1,923	1,953	2,105	2,361	2,710	3,095
EPS	10,004	5,075	6,414	12,758	13,065	14,068	15,783	18,114	20,686

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 13: Naver: Balance Sheet

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Cash & cash equivalents	3,455	3,941	4,385	7,055	8,321	11,057	12,944	15,771	19,115
Accounts receivable	1,455	1,540	1,724	1,655	1,690	1,905	2,230	2,717	3,293
Other current assets	618	959	919	664	918	1,270	1,486	1,811	2,195
Total current assets	5,528	6,440	7,028	9,375	10,929	14,232	16,660	20,299	24,602
Investment assets	24,612	22,337	21,262	20,918	21,369	23,475	23,475	23,475	23,475
Tangible assets	2,111	2,458	2,742	2,910	3,608	4,460	5,352	6,450	7,884
Right of use assets	290	739	692	318	922	990	990	990	990
Other non-current assets	1,150	1,926	4,015	4,648	4,229	6,361	8,375	10,743	13,623
Total assets	33,691	33,899	35,738	38,168	41,057	49,518	54,853	61,957	70,575
Accounts payable	628	893	1,308	997	978	1,300	1,521	1,854	2,247
Advance received	374	416	498	568	787	812	951	1,158	1,404
Income tax payable	515	353	321	364	371	517	605	738	894
Short-term borrowings	0	0	250	0	1,597	182	204	231	264
Other current liabilities	2,406	3,819	3,929	4,163	4,255	6,803	6,803	6,803	6,803
Total Current Liabilities	3,923	5,481	6,306	6,092	7,988	9,614	10,085	10,784	11,612
Long-term debt	1,637	1,705	1,656	2,007	382	234	263	297	340
Long-term operating lease obligations	206	589	519	388	955	995	995	995	995
Other non-current liabilities	3,898	2,674	3,020	2,680	2,774	3,406	3,406	3,406	3,406
Total liabilities	9,664	10,449	11,500	11,167	12,099	14,249	14,748	15,482	16,352
Shareholders' equity	24,027	23,450	24,238	27,001	28,958	35,269	40,104	46,476	54,222
Total liabilities & shareholders' equity	33,691	33,899	35,738	38,168	41,057	49,518	54,853	61,957	70,575

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 14: Naver: Cash Flow Statement

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Net (loss) income	1,478	673	985	1,932	1,819	2,127	2,384	2,734	3,119
Depreciation & amortization	127	157	174	172	183	310	370	445	505
Changes in working capital	265	298	-4	283	-129	-41	-72	-96	-106
Other	-182	-64	116	-100	728	0	0	0	0
Cash flow from operations	1,688	1,065	1,271	2,286	2,600	2,396	2,682	3,083	3,518
Capex	-125	-190	-113	-193	-566	-231	-249	-306	-405
Other	180	-302	447	-472	547	547	547	547	547
Cash flow from investments	55	-492	334	-666	-19	315	298	241	142
Cash flow from financing	10,872	-497	-183	-1,133	-559	-1,715	30	33	37
Net effect of exchange rate changes	-88	45	-90	140	-39	-518	-518	-518	0
Net change in cash	12,528	121	1,331	627	1,983	479	2,492	2,839	3,697
Beginning cash	3,846	2,781	2,902	4,233	4,860	6,843	7,322	9,814	12,653
Ending cash	16,373	2,902	4,233	4,860	6,843	7,322	9,814	12,653	16,349

Source: Corporate reports, Bernstein estimates and analysis.

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